

CARRIER MANAGEMENT POLICY

Document ID: DOC-003 | Version: 2.1 | Effective: 2026-01-01 | Status: ACTIVE

1. Purpose

This policy defines the governance model for contracted transportation carriers, including qualification, performance monitoring, repeated service-level breaches, escalation, remediation, and replacement.

2. Scope

Applies to carriers supporting domestic transportation operations. Contractual terms remain binding; this policy defines the internal governance process used to manage carrier performance.

3. Performance indicators

Carrier performance is assessed using the corporate logistics indicators defined in the Logistics KPI Dictionary. The minimum governance set is OTIF, on-time delivery, damage rate, claim rate, and cost per shipment. Additional route or service-specific indicators may be used when documented.

4. Performance review cadence

Supply Chain reviews carrier performance weekly for operational exceptions and monthly for formal supplier governance. Material deviations must be recorded with the affected route, service category, period, root cause, and corrective action owner.

5. Repeated SLA breach rule

A carrier that remains below the applicable SLA for three consecutive weekly review periods must enter formal escalation. The Logistics Manager opens a performance case, requests a corrective action plan, and establishes a recovery window. Procurement must be informed when contractual penalties or replacement may be required.

6. Escalation and replacement

Stage	Trigger	Required action	Owner
1 - Operational correction	Single material SLA breach	Investigate cause, agree immediate containment, and record action.	Transport Planning
2 - Formal escalation	Three consecutive weekly periods below SLA	Open performance case, require corrective action plan, define recovery window, and notify Procurement.	Logistics Manager
3 - Commercial review	Failure to recover within approved window or repeated recurrence	Assess penalties, commercial remediation, capacity alternatives, and replacement options.	Procurement + Supply Chain
4 - Replacement	Approved decision to discontinue carrier for affected scope	Activate qualified alternative carrier through Supplier Onboarding SOP and applicable Approval Authority Matrix.	Supply Chain + Procurement

7. Carrier replacement procedure

Replacement is not automatic after a breach. The performance case must document the failed recovery, affected scope, contractual implications, available qualified alternatives, operational transition risk, and required approval. The replacement carrier must satisfy the active Supplier Onboarding SOP before activation unless an approved emergency process applies.

8. High-risk carrier classification

Carrier risk classification is governed by the Supplier Risk Policy. This policy uses the resulting risk classification as an input to monitoring intensity and escalation but does not redefine the corporate risk methodology.

9. Evidence and records

Performance cases, corrective action plans, review minutes, penalty assessments, and replacement approvals must be retained as governance evidence.

10. Related documents

Transportation Policy; Supplier Risk Policy; Supplier Onboarding SOP; Approval Authority Matrix; Logistics KPI Dictionary; applicable carrier contracts.